

*** — “Only to the extent that it suits his book” means “only to the extent that the price is favorable enough to justify selling the stock.” In traditional brokerage lingo, the “book” is an investor’s ledger of holdings and trades.**

† — This may well be the single most important paragraph in Graham’s entire book. In these 113 words Graham sums up his lifetime of experience. You cannot read these words too often; they are like Kryptonite for bear markets. If you keep them close at hand and let them guide you throughout your investing life, you will survive whatever the markets throw at you.

*** — Graham has much more to say on what is now known as “corporate governance.” See the commentary on Chapter 19.**

*** — By what Graham called “the rule of opposites,” in 2002 the yields on long-term U.S. Treasury bonds hit their *lowest* levels since 1963. Since bond yields move inversely to prices, those low yields meant that prices had risen—making investors most eager to buy just as bonds were at their most expensive and as their future returns were almost guaranteed to be low. This provides another proof of Graham’s lesson that the intelligent investor must refuse to make decisions based on market fluctuations.**

*** — An updated analysis for today’s readers, explaining recent yields and the wider variety of bonds and bond funds available today, can be found in the commentary on Chapter 4.**

*** — As mentioned in the commentary on Chapters 2 and 4, Treasury Inflation-Protected Securities, or TIPS, are a new and improved version of what Graham is suggesting here.**

1 — See Graham’s text, pp. 204–205.

2 — As Graham noted in a classic series of articles in 1932, the Great Depression caused the shares of dozens of companies to drop below the value of their cash and other liquid assets, making them “worth more dead than alive.”

3 — News release, The Spectrem Group, “Plan Sponsors Are Losing the Battle to Prevent Declining Participation and Deferrals into Defined Contribution Plans,” October 25, 2002.

4 — A few months later, on March 10, 2000—the very day that NASDAQ hit its all-time high—online trading pundit James J. Cramer wrote that he had “repeatedly” been tempted in recent days to sell Berkshire Hathaway short, a bet that Buffett’s stock had farther to fall. With a vulgar thrust of his rhetorical pelvis, Cramer even declared that Berkshire’s shares were “ripe for the banging.” That same day, market strategist Ralph Acampora of Prudential Securities asked, “Norfolk Southern or Cisco Systems: Where do you want to be in the future?” Cisco, a key to tomorrow’s Internet superhighway, seemed to have it all over Norfolk Southern, part of